

COURSE TITLE : ACCOUNTANCY-II

COURSE CODE : 2141

COURSE CATEGORY : B

PERIODS/WEEK : 5

PERIODS/SEMESTER: 75

CREDITS : 5

TIME SCHEDULE

MODULE	TOPIC	PERIOD
1	Bank Reconciliation	20
2	Bills of Exchange	20
3	Rectification of Errors Capital and Revenue	15
4	Final Accounts	20
TOTAL		75

COURSE GENERAL OUTCOME

Sl.NO	Sub	Student will be able to understand
1	1	The preparation of Bank Reconciliation Statement
	2	Bills of Exchange transactions
	3	The method of rectifying errors
	4	The preparation of final accounts

SPECIFIC OUTCOME

MODULE 1

1.1.0 Understand meaning of Bank Reconciliation Statement

1.1.1 State the purpose of BRS

1.1.2 State the meaning of the pass book /statement of account

1.1.2 Identify the differences between pass book and cash book

1.1.3 Explain the causes of differences between the pass book balance and cash book balance

1.1.4 Prepare Bank Reconciliation Statement

1.1.5 Preparation of BRS under condition of bank overdraft

MODULE 2

2.2.0 Understand Bills of Exchange transactions

- 2.2.1 Define Bill of Exchange, Promissory note and Cheque
- 2.2.2 Distinguish between bill of exchange and Promissory Note
- 2.2.3 State various terms in bills of exchange transactions
- 2.2.4 Identify various kinds of bills
- 2.2.5 Explain the method of recording bill of exchange transactions
- 2.2.6 Give journal entries and ledger accounts on various occasions
- 2.2.7 State the meaning of accommodation bills
- 2.2.8 Explain the method of recording accommodation bills on the insolvency of the drawer and acceptor
- 2.2.9 Compare trade bills and accommodation bills

MODULE 3

3.1.0 Understand the method of rectifying errors

- 3.1.1 List out the types of errors
- 3.1.2 State the steps to locate errors
- 3.1.3 State journal entries for rectifying errors
- 3.1.4 Explain suspense account
- 3.1.5 State the journal entries to rectify errors through suspense account.
- 3.2.0 Understand the capital- revenue classification
- 3.2.1 Explain Capital expenditure, Revenue expenditure, Capital receipts, Revenue receipts, Deferred revenue expenditure

MODULE 4

4.1.0 Understand final accounts

- 4.1.1 Prepare final account without adjustments
- 4.1.2 Explain various adjustments in Final Accounts
- 4.1.3 Understand the preparation of final accounts with all adjustments
- 4.1.4 Describe importance of making adjustments in the Final Accounts
- 4.1.5 Identify the order in which items are to be written in the balance sheet
- 4.1.6 Explain how the given items are adjusted in the Final Accounts
- 4.1.7 Prepare Final Accounts with adjustments.

CONTENT DETAILS

MODULE 1

Bank reconciliation statement—meaning--purpose-Pass Book--meaning--statement of account—meaning--Difference between Pass Book and Cash Book—Causes of differences between passbook balance and cash book balance—Preparation of Bank Reconciliation Statement--Preparation of BRS under condition of Bank Over Draft.

MODULE 2

Bills of Exchange, Promissory Note, Cheque—meaning—definition—bills of exchange vs. promissory note—important terms in bills of exchange transactions—acceptance—endorsement—dishonor—noting and protesting—renewal of bills—retiring of bills—kinds of bills—inland bill—foreign bill—demand bill—time bills—clean bill—documentary bill—method of recording bills of exchange transactions—journal entries and ledger accounts on recording transactions—accommodation bill—meaning—method of recording accommodation bills with special reference to insolvency of drawer and acceptor—trade bill vs. accommodation bill.

MODULE 3

Rectification of errors—types of errors—clerical errors—error of omission—error of commission—compensating errors—error of principle—steps to locate errors—one sided errors—two sided errors—rectifying journal entries—suspense account—journal entries to rectify errors through suspense account

capital and revenue—classification—Capital expenditure—Revenue Expenditure—meaning—Capital Receipts—meaning—Revenue Receipts—meaning—Deferred Revenue Expenditure—meaning—difference between capital and revenue expenditure.

MODULE 4

Preparation of Final Accounts with and without adjustments—importance of making adjustments in the final accounts—various adjustments—outstanding expenditure—unexpired expenditure—accrued income—unearned income—depreciation—bad debts—provision for bad debts—provision for discount on debtors—provision for discount on creditors—interest on capital—interest on drawings—managerial commission—accidental loss of stock—presentation of items in the balance sheet.

REFERENCE BOOKS

Accountancy II	: P K Lazar, Excel Publications, Thrissur
Double Entry Book keeping	: T S Grewal & Sulthan Chand, Delhi
Elements of Book keeping	: M C K Nambiar Cannore, Kamalalayam.